

HEDGEYE DAILY DIGEST

Tuesday, September 29, 2026 (GMT+8) | Covers publications of Sep 29 and Sep 28 (GMT+8)

Hedgeye calls it "Dollar Up, Rates Up, Gold Down", another #Quad2 week. The **UST 2yr** is up **+67 bps** in a month and the 10yr range is **5.02-5.26%**. Gold has broken TREND and is being exited across the books. The team stays **long oil / short duration**, favors unlevered **Large Cap Growth** over small caps and credit, and is adding shorts in **Financials (XLF)** and **Mexico (EWW)**. Overnight, Capital Allocation Pro cut **Gold to 0%**, added **Ethereum**, and raised cash sharply across all four model portfolios.

Today's Publications

CAPITAL ALLOCATION PRO: MODEL PORTFOLIO CHANGES

Capital Allocation Pro | 09/28/26 12:36 PM EDT (Sep 29, 00:36 GMT+8)

The Capital Allocation team (**Andrew Nanai, David Salem**) made a broad risk-down rebalance across all four model portfolios, effective at **Monday, September 28** closing prices. The main change is a big jump in **cash (BIL)**: **Fuji 29% to 36%**, **Matterhorn 19% to 25%**, **Hood 37% to 46%**, **Whitney 19% to 27%**. The money came out of non-US equities, rate-sensitive US equities and gold.

Gold (GLD) goes to **0% everywhere** (from 2-4%), and its Hubble outlook is now Indeterminate. That lines up with Keith McCullough's call on the Macro Show to exit the remaining gold position after its TREND break. **Brazil (EWZ)** is also cut to **0%** (a **-2% to -4%** cut), which matches ETF Pro Plus removing its EWZ long.

In the other direction, the commodities sleeve grows (**+3% to +7%**). **Bitcoin (IBIT)** rises **+1-2%** (Matterhorn **5% to 7%**). **Ethereum (ETHA)** is a **new position** added **9/28/26** at **2-3%**. The **GSCI Commodities Index (PDBC)** is increased in Matterhorn and Whitney (**+2%**).

Inside US equities, the team sold **Equal Weight S&P (RSP)**, **Lower Volatility (USMV)**, part of **MLPX** and part of **XOP**. It added **Energy (XLE)** (**+1-2%**) and started a **Healthcare (XLV)** position (**+2%**) in every portfolio. **VYMI** is trimmed **1-2%**. **Senior Loans (BKLN)** stay at **14-16%**.

Performance since 4/1/25 inception (net hypothetical): Fuji **26.5%** (YTD **7.1%**), Matterhorn **28.6%** (YTD **8.3%**), Hood **24.7%** (YTD **6.4%**), Whitney **29.7%** (YTD **8.6%**). Drawdowns from peak run from **-2.8%** to **-4.8%**.

Takeaway: This is a de-risking move in line with late-cycle #Quad2. The team is raising cash, getting out of gold, EM (Brazil) and low-vol/equal-weight equity, and shifting toward energy, healthcare and digital assets.

Yesterday's Publications

EARLY LOOK: ANOTHER #QUAD2 WEEK, IT WAS

Early Look | Keith McCullough | 09/28/26 07:29 AM EDT

What: In the Monday flagship note, **Keith McCullough** says US bond holders are living through a "**#Quad2 Crash**" while anyone not in a 60/40 portfolio sidestepped it. The fractal pattern for the week was **Dollar Up, Rates Up, Gold Down**.

Why: Quad positioning: #Quad2. McCullough expects strong **September PMI** rate-of-change data to keep the #Quad2 prints coming **well into October**. He then sees the US growth cycle **peaking in Q3 2026** and slowing more clearly in **1H 2027**.

Key numbers: US Dollar Index +0.8% w/w (+2.1% m/m, Bullish TRADE and TREND). EUR/USD -2.3% m/m. MXN -2.8% and Colombian Peso -3.9% w/w. The peso breakdown helped trigger the exit from **Colombia (COLO)**, and Hedgeye now wants to short **Mexico (EWW)** on bounces. **UST 2yr +9 bps w/w (+67 bps m/m), 10yr +15 bps (+53 bps), 30yr +16 bps (+33 bps).** **Gold -2.1%** last week and another **-3.1%** Monday morning after breaking TREND.

Factors: Top 25% Sales Growth +2.0% vs Bottom 25% -1.5%. High Beta +2.6% vs Low Beta -2.2%. High Debt/EV -1.8% vs low debt +1.0%. Financials (XLF) -1.8% w/w and -6.0% m/m.

Takeaway: Stay with **Large Cap Growth**, meaning organic, unlevered compounders. Avoid **levered cyclicals and Financials**, which face rising capital costs just as revenue growth slows.

Risk Range™ Signals (as of 9/28/2026)

Asset	Ticker	Risk Range	TREND
10-Year U.S. Treasury Yield	UST10Y	5.02-5.26	Bullish
High Yield	HYG	77.63-78.71	Bearish
Inv. Grade Corp Bonds	LQD	102.6-104.8	Bearish
S&P 500	SPX	7550-7765	Bullish
NASDAQ Composite	COMPQ	26419-27611	Bullish
Russell 2000	RUT	2808-2888	Bearish
Health Care SPDR	XLV	166-172	Bullish
Expanded Tech-Software	IGV	103-109	Bullish
Energy SPDR	XLE	60.90-65.57	Bullish
Volatility Index	VIX	14.32-17.80	Bearish
U.S. Dollar Index	USD	100.08-101.62	Bullish
WTI Crude Oil	WTIC	90.53-105.85	Bullish
Natural Gas	NATGAS	2.91-3.35	Bullish
Gold Spot	GOLD	4111-4331	Bearish
Copper Spot	COPPER	6.41-6.80	Bullish
Silver Spot	SILVER	60-64	Bearish

KM'S TOP 3 THINGS (MACRO SHOW ACCESS POST)

The Macro Show | 09/28/26 08:30 AM EDT

What: McCullough's three calls for the day: **Oil Up, Rates Up, Gold Down.**

Why: Asia: the US-China "bromance" story didn't show up in prices. **Shanghai -1.7%**, and the **KOSPI -2.7%** after losing TREND support at **7052**. The **India (INDA)** short keeps moving inversely to oil, with the **BSE Sensex -5.7%** m/m. **Oil** is Bullish TRADE and TREND, so buy dips and sell rips. On **rates**, the Inflation Nowcast for September keeps rising.

Who: Brent (BNO) long, near the top of its range. Shorts in **TLT, ZROZ, LQD**. **Gold** is now bearish, joining **Silver (SLV)** and **Utilities (XLU)**.

Key numbers: **SPX 7550-7765**. **UST 10yr 5.02-5.26%**.

Takeaway: If you're long oil, you should be short duration.

MOMO TRACKER: MAG7 (-0%), HIGH BETA MOMO (+2%), TSLA=NEUTRAL

Momentum Stock Tracker | Christian Drake, Ryan Ricci | 09/28/26 07:41 AM EDT

What: The weekly momentum dashboard. Most of the content is charts, so this summary comes from the headline.

Why: Mag7 was flat (-0%) while **High Beta Momo** gained +2%, which fits the high-beta factor leadership.

Who: TSLA slips from Bullish to **NEUTRAL**. The **KOSPI** couldn't hold TREND.

Takeaway: Momentum is holding up in high beta, but mega-cap leadership is stalling.

MACRO SHOW SUMMARY NOTES (MONDAY, SEPTEMBER 28)

The Macro Show | Keith McCullough & Daryl Jones | 09/28/26 10:11 AM EDT

What: The full recap of Monday's show and the list of positions mentioned.

Why: The setup is **late-cycle #Quad2**. GDP is running about **3.5-4%** with very strong PMIs, but growth slows into **1H 2027**. Higher rates therefore hurt duration, credit, small caps and leveraged companies all at once, which is why **60/40** is struggling.

Who: Bullish: **BNO, XLV, AAPL, MSFT, BTC, CRAK, BUG**. Bearish: **INDA, TLT, ZROZ, LQD, HYG, EWG, EWL, QAT, EWW**.

Key numbers: The **SPX** has about **8 units of downside per 1 unit of upside** inside its range. The negative-gamma trigger is around **7658**. Short-dated vol is about **14**. McCullough would buy **Bitcoin** dips near **80,416**.

Takeaway: Gold is being exited, **CRAK** was added to, **BUG** is a new long and low-vol/high-dividend exposure was sold. The preferred index short is the **Russell 2000**, and **Mexico (EWW)** is a new short idea.

CAPITAL ALLOCATION PRO: DAILY DASHBOARD

Capital Allocation Pro | 09/28/26 09:17 AM EDT

What: The routine Daily Dashboard refresh (brief, dashboard, model portfolios, scorecard).

Why: A housekeeping post ahead of the afternoon's model changes. The dashboard now tracks **BNO** and **USO** and no longer covers **MBB** and **PFF**.

Who: Andrew Nanai, David Salem.

Key numbers: Trend/Tail levels for **68 ETFs** were last refreshed on **Aug 28** closes.

Takeaway: No new signal on its own. The 9/28 model changes are what matter.

SIGNAL STRENGTH STOCKS: 53 STOCKS (3 ADDED, 8 REMOVED)

Signal Strength Stocks | 09/28/26 11:45 AM EDT

What: The weekly rebalance of the signal-strength list, now **53 names**.

Why: Adding **CRON**, **CURLF** and **PBF** (a refiner, which fits the CRAK theme). Removing **AKAM**, **ANET**, **DGX**, **GLBE**, **GSL**, **MDB**, **MGNI**, **PI**.

Key numbers: Top winners include **TXG +298%**, **OKTA +109%**, **SNOW +85%** and **TEAM +66%** since entry.

Takeaway: The list is being pruned toward the strongest trends, with software still dominant.

ETF PRO PLUS: 4 NEW CHANGES

ETF Pro Plus | 09/28/26 10:28 AM EDT

What: Adding shorts in **Financials (XLF)** and **Mexico (EWW)**. Removing longs in **Physical Gold (AAAU)** (range **41.08-43.5**) and **Brazil (EWZ)** (range **36.09-38.5**).

Takeaway: This carries the Early Look into action: short Financials and EM on dollar strength, and get out of gold after its TREND break.

CRYPTO QUANT: BTC (-1.1%), ETFs +\$3.03B W/W

Bitcoin Trend Tracker | 09/28/26 07:32 AM EDT

What: The daily crypto quant dashboard. Mostly charts, so this summary is from the headline.

Key numbers: **BTC -1.1%** overnight. US spot **ETF inflows +\$3.03B** week over week.

Who: **Ethereum** has what the team calls its last "normal" upgrade coming up. **Circle (CRCL)**'s CFO and a co-founder are leaving.

Takeaway: Steady ETF demand backs the buy-the-dip stance on BTC, and CAP added **ETHA** the same day.

ETF PRO PLUS: NEW WEEKLY REPORT

ETF Pro Plus | 09/27/26 07:29 PM EDT

What: The weekly ETF Pro Plus report. The page was behind a security check and didn't load; this is noted from the title only.

Takeaway: See the ETF Pro Plus dashboard for the full weekly long/short list.

10 publications covered. The 07:23 AM Macro Show video post is skipped as a duplicate of the Summary Notes.